

GENERAL PARTNERSHIP FORMATION

LO 28-1

Identify the necessary elements of partnership formation.

A general partnership is legally defined as (1) an association of two or more people (2) who are co-owners and co-managers of the business and (3) who share in the profits of their ongoing business. General partnerships typically use the designation "GP" at the end of their business name to signify the general partnership as their chosen form of entity. In a partnership agreement, partners may set a specific future date or event for when the partnership will be dissolved and may agree to extend this date if necessary. In a partnership at will, on the other hand, the partners agree to continue their association indefinitely.

No formal document or government filing is necessary to form a general partnership. Most partnerships are carries automobiles, in which the principals agree orally or in writing to form an ongoing business relationship. It is important, however, to note that the parties may not actually intend to be partners or even call themselves partners. Nonetheless, the law will recognize their relationship as an implied partnership as long as the three required elements are present.

For example, suppose Billy, James, Dorey, and Jimmy are friends who used to play in the college marching band together. Billy sings, James plays guitar, Dorey plays bass, and Jimmy is a drummer. They started a band called the Straining Tones and have enjoyed success composing music and playing at local venues. They agree that they will play as many gigs as possible and will contribute musical equipment and talent to that effort. They also agree to share profits after all expenses are paid. At this point, even if they do not speak of forming a partnership or intend to be partners, they are legally bound to each other in an implied general partnership.

In Case 28-1, a state appellate court analyzes whether a romantic relationship created an implied partnership in business.

FACT SUMMARY

Waddell and Rustin entered into a romantic relationship soon after meeting in 1999. Waddell maintained that their association started as personal and also grew into a business partnership. Rustin denied that they were ever express or implied business partners. At the time the two met, Rustin and his sister owned and operated a store called "Lots of Lots of Lots." Waddell and Rustin dated until 2000, when Rustin ended the relationship. Waddell claimed that she had management and oversight over business projects, had access to the company checkbook, paid company bills, helped Rustin choose construction projects, and even changed the store's name from "Lots of Christmas" to "Aluminum Decor and More" to improve sales. Waddell testified that she did not receive any paychecks for her work, but that the couple ran the businesses as partners. When the personal relationship ended, Waddell brought suit claiming that she was entitled to a percentage of the profits because the relationship had been an implied partnership. The trial court ruled that no implied partnership was created.

SYNOPSIS OF DECISION AND OPINION

The Court of Appeals of Tennessee affirmed the trial court and held in favor of Rustin. The court ruled that because there was no written partnership agreement between Waddell and Rustin, Waddell bore the burden of proving the existence of a partnership by clear and convincing evidence. Given that Waddell had no experience in construction or excavation when they met and that Rustin had engaged in construction work for years, it was clear that his efforts had made the business viable. Waddell did not contribute equipment, experience, or capital. Therefore, the court held that one cannot reasonably conclude that Waddell's relationship with Rustin rose to the level of an implied partnership.

WORDS OF THE COURT: Partner Contributions

"Rustin acknowledges, as do we, that Waddell performed certain work related to Rustin's business enterprises. However, it cannot be said of this case that the parties' prosperity was due in equal part to Waddell's efforts. Rustin and his brother ran the store prior to Waddell's relationship with Rustin. Waddell's work at the Store is better characterized as helping out rather than the contribution of an equal partner. Notwithstanding Waddell's activities related to certain houses or cabins, the record shows that Rustin, with his experience in construction and excavation, clearly was the primary driver of the construction enterprise. Waddell testified that she contributed to real property, personal property, money, formal training in interior design, excavation experience or construction experience to any partnership."

Case Questions

- 1. What was Waddell's theory of the case as to why an implied partnership existed?
- 2. Could a personal relationship ever be considered a partnership? At what point does a personal relationship create an implied partnership?
- 3. Focus on *Criticor Thinking*: Given the court's ruling, what could Waddell have done differently to ensure that she would have had partner status?

TAKEAWAY CONCEPTS: General Partnership Formation

- A general partnership is legally defined as: (1) an association of two or more people; (2) who are co-owners and co-managers of the business; and (3) who share in the profits of their ongoing business.
- No formal document or government filing is necessary to form a general partnership.